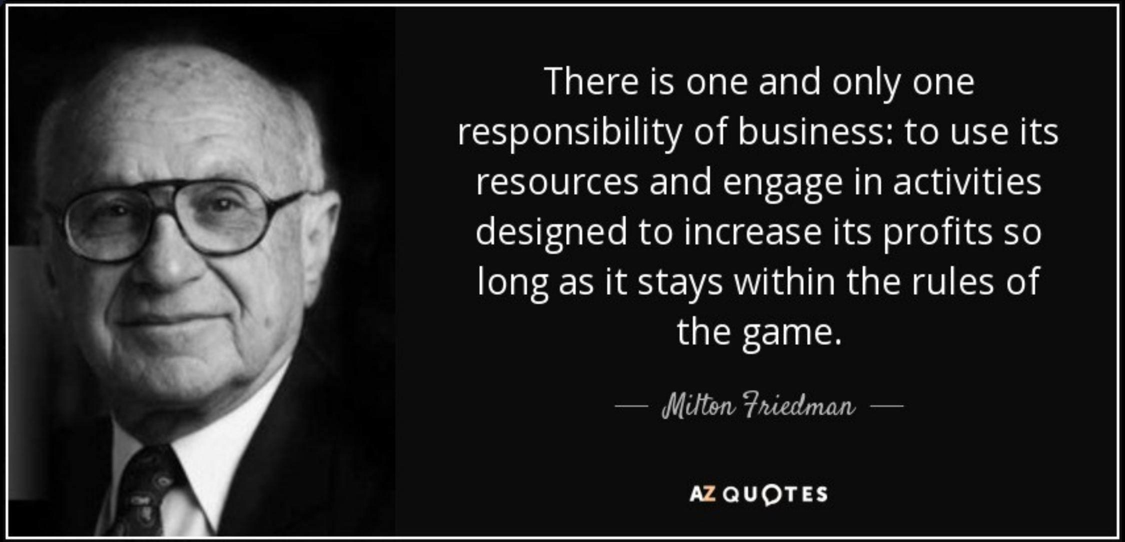
SHAREHOLDER PRIMACY, FIDUCIARY DUTY, AND ETHICAL INVESTMENT: LESSONS FROM THE PARABLE OF THE TALENTS, ENRON AND EXXONMOBIL

Tyson Test

UHON-390 Money and The Bible

Second Jubilee 12-10-2024

Shareholder Primacy & Fiduciary Duty



- Dr. Milton Friedman advocated for shareholder primacy
- Corporate management has a fiduciary duty to prioritize shareholders' welfare
- Social causes of individual shareholders can be advanced through their own effort with enhanced corporate earnings
- Balancing short-term profit with long-term sustainability

Parable of the Talents

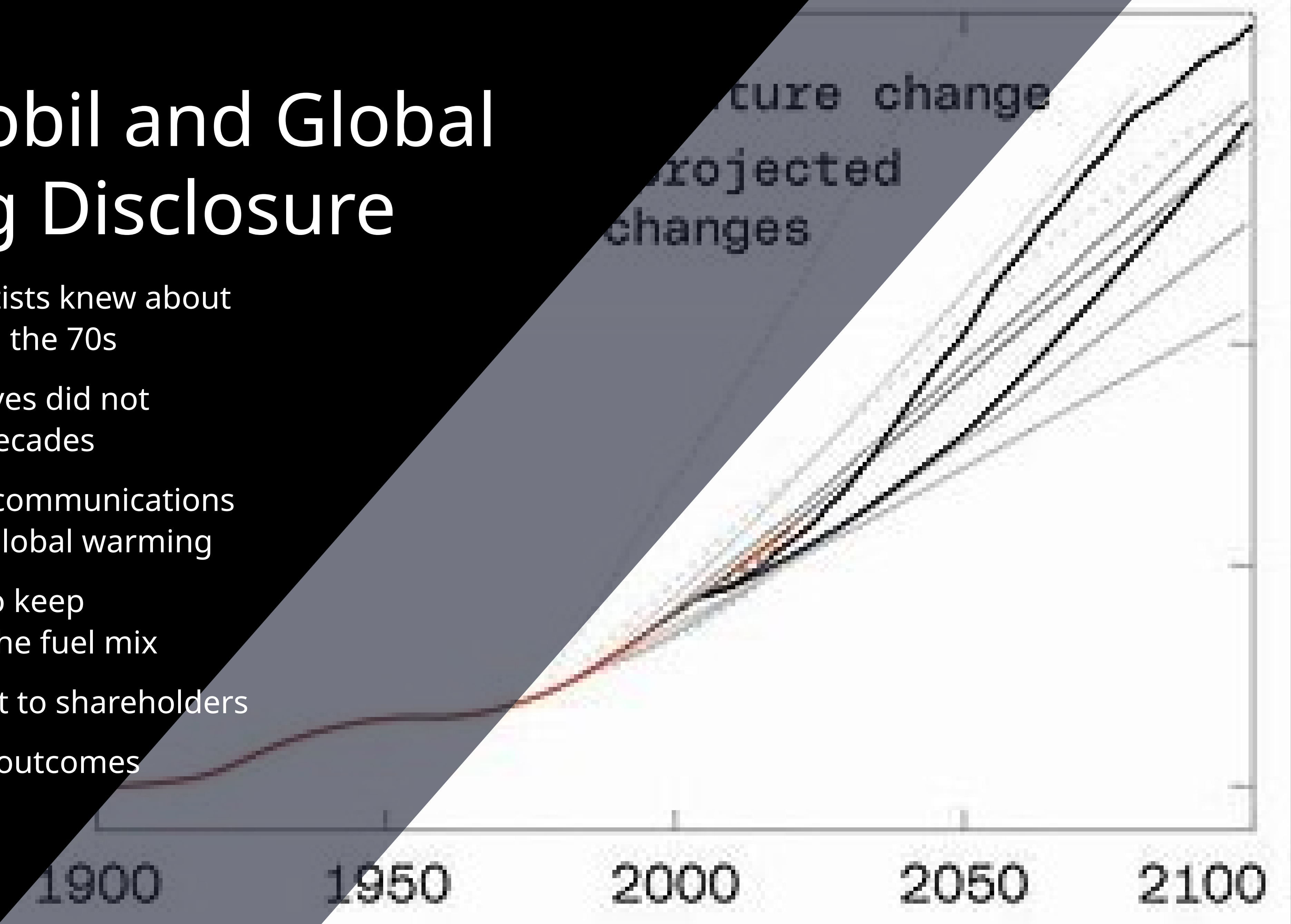
- Matthew 25 14:30
- Master entrusted 3 servants to invest
- 2 did so and earned a positive return, the other did not
- Master scolded him: "you wicked and slothful servant!"
- Related to shareholder primacy, management is the servant of shareholders who are to earn a positive return
- Biblical stewardship and modern corporate governance emphasize responsible management of resources for maximum return

The Smartest Guys in the Room

- Enron's demise was one of the largest corporate scandals in American history
- Employed unethical business practices and outright accounting fraud
- Reported projected future revenue as current-day earnings
- This boosted stock prices to increase c-suite executive compensation
- Billions of dollars in shareholder value destroyed when the company went bankrupt
- Thousands of employees lost their jobs and retirement savings

ExxonMobil and Global Warming Disclosure

- ExxonMobil scientists knew about global warming in the 70s
- Company executives did not disclose this for decades
- Official company communications casted doubt on global warming
- Influence policy to keep hydrocarbons in the fuel mix
- Short-term benefit to shareholders
- Negative societal outcomes



Enron v. ExxonMobil

- Enron violated a tenant of shareholder primacy, it has to be within legal requirements
- Parable of the dishonest manager from Luke 16 (manager placed his interests above the masters, this is what Enron did)
- ExxonMobil more nuanced

Shareholder primacy in the short and long term and public interest

- Discount rate preferences among investors (how much does the future matter?)
- Short-term profit maximized by Exxon's actions
- Long-term profit harmed by reputational damage
- Personal ethical question: does stewardship only matter for your investments or do we consider wider society?
- What if you only care about the short-term, ExxonMobil maximized value, should they be commended?

Conclusion

- **Enron vs. ExxonMobil**: Enron's unethical practices led to its downfall, while ExxonMobil's actions raise questions about balancing short-term gains with long-term societal impacts.
- **Ethical Management Debate**: Effective stewardship requires balancing immediate profits with sustainable, long-term value, aligning with shareholder primacy when considering broader societal responsibilities.

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